THE UNITED REPUBLIC OF TANZANIA
PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NORTH WESTERN ZONE FORM FOUR FORM PRE-NATIONAL EXAMINATION.

062

TIME: 3HRS BOOK KEEPING -18/9/2024

INSTRUCTIONS

- This paper consist of section A, B and C
- Answer all questions
- Section A carries 15 marks, section B 40 marks and section C 45 marks.
- Cellular phones and other unauthorized materials are not allowed in the examination room.

SECTION A (15 marks)

Answer all questions in this section.

1. For each of the following (i- x) choose the correct answer from among the given alternatives and write its letter in the box provided below the questions
    i. Gross loss is determined in the income statement as;
        A. Excess of sales over the cost of goods sold
        B. Excess of cost of goods sold over sales
        C. Cost of goods sold plus opening stock
        D. Total sales less total purchases
    ii. The total amount of money from the return outward day book is transferred to the;
        A. Debit side of purchases ledger
        B. Credit side purchases ledger
        C. Debit side of purchases account
        D. Credit side of purchases journal
    iii. You have been given financial information of Mr. Luka as follows and he has asked you to determine the amount of capital. Premises 40,000/= loan to Samwel 20,000/= inventory 15,000/= loan from Azizi 5,000/=account payable 10,000
        A. TZS 75,000
        B. TZS 60,000
        C. TSZ 45,000
        D. TZS 25,000

iv. Which of the following is recorded in the statement of financial position as a current asset?
    A. Expenses paid
    B. Expenses prepaid
    C. Expenses incurred
    D. Expenses due
    E. Income received in advance

v. When Anna was preparing a trial balance, it fail to agree because she had recorded one item of Tzs 10,000/= only once in the books. Which error made the trial balance to disagree?
    A. An error of principle
    B. An error of overcasting
    C. An error of complete reversal of entry
    D. An error of partly commission
    E. An error of commission

vi. Ministry of agriculture transferred two billion Tzs to the ministry of education in order to fix the deficit of the ministry. This process is termed as
    A. Ambit of vote
    B. Virement
    C. Consolidated fund
    D. Public fund
    E. Vote book

vii. Kazimoto received a cheque and presented to the bank, but banker refused to make payment due to insufficient fund in the drawers account. This cheque is referred to
    A. Outstanding cheque
    B. Unrecorded cheque
    C. Uncredited cheque
    D. Dishonored cheque
    E. Overdraft

viii. Mwamba is shopkeeper who is dealing with selling variety of good. He took one of the product items fromhis shopand sent home for family uses. As your business student which appropriate account for recording this type of transition.
    A. Drawing Account
    B. Purchases Account
    C. Expenses Account
    D. Expenditure Account
    E. Sales Account

ix. Massawe supplied goods on credit to Alphonce & Sons Company Ltd. In which ledger the records of Massawe should be kept?
    A. Sales ledger
    B. Purchases ledger
    C. General ledger
    D. Private ledger
    E. Cash book

x. The cash book of charity business showed a credit balance of 10,000/= what does the balance mean?
   A. There is a cash in hand of 10,000/=
   B. There is an overdraft of 10,000/=
   C. The cash book balance is incorrect
   D. There is 10,000/= stolen
   E. Charit's business received more than what have spent

2. Match the explanation of government terminologies in column A with correct terminologies in column B

COLUMN A	COLUMN B
i. Money for long term projects government constructions. ii. Money for day to day running expenses of the government iii. Money paid which do not add any value to the government iv. Money set aside to meet special purposes v. Money established in order to meet unforeseen events.	A. Recurrent expenditure B. Nugatory expenditure C. Capital expenditure D. Warrant of fund E. Special fund F. Consolidated fund G. Civil contingent fund

SECTION B (40 Marks)

Answer all questions in this section.

3. Assume your book-keeping teacher assigned you to prepare a presentation of ten minutes from form one topic, then you decided to choose book of prime entry basing on the one of the subsidiary book which is journal proper, now prepare your presentation but within your presentation you should include five (5) uses of journal proper.
4. (a) On 31.12.2021 rates had been prepaid by TZS 20,000/= and rent owing amounted to TZS. 60,000/=. During the year 2022, TZS 420,000/= had been paid in respect of rates. This amount includes TZS. 40,000/= for the year 2023. Rent accrued for the year 2023, amounted to TZS. 12,000/=

REQUIRED: Prepare rent and rates combined account and show clearly the amount of rent and rates expenses to be transferred to the income statement.

(b) The provisions for bad and doubtful debts brought forward from the previous year on 1st January 2020 amounted to TZS 20,000/=. The amount of debtors' balance remaining outstanding on 31st December 2020 amounted to TZS. 240,000/= and the business provide provision of 10% on the debtors' balance remaining outstanding on 31st December 2020.

REQUIRED: Prepare provisions for bad debts account and show the amount of provision to be transferred to the income statement.

5. A trial balance of Dinah extracted on 31st December 2020 failed to agree by TZS 16,500/=, a shortage on the credit side of the trial balance. A suspense account was opened for the difference.
    a. Sales amounted to TZS. 5,000/= made on credit to Samwel was recorded in the personal account but not posted to the sales account
    b. Sales of TZS. 12,500 to Rweyemamu had been debited in error to Rweyendela's account.
    c. Rent expenses amounted to TZS. 3,500/= was recorded in the cash book only.
    d. Discount allowed account was over debited by 15,000/=
    e. The sales of a motor van at a book value 18,000/= had been credited in error to sales account.

REQUIRED:

i. Show journal entries to correct the above errors ii. Prepare suspense account.

6. (a) You have been invited to educate the new members of a certain social club at Bukoba Town. As a form three student with the knowledge of book-keeping, educate them the main sources of income to their club. Give five points.

(b) Complete the following table by stating the actual transactions took place.

S/N	TRANSACTION	ACCOUNT TO BE DEBITED	ACCOUNT TO BE CREDITED
i.	……...	Account receivable account	Sales account
ii.	……...	Purchases account	Accounts payable
iii.	……...	Bank account	Capital account
iv.	……...	Cash account	Bank account
v.	……...	Drawings account	Bank account

SECTION C (45 Marks)

Answer all questions in this section.

7. The following is the financial position of assets and liabilities of Marenga business who keeps his books on single entry system.

	1.1.2020	31.12.2021
Furniture	15,000/=	15,000/=
Inventory	150,000/=	135,000/=
Account receivable	180,000/=	228,000/=
Machinery	180,000/=	180,000/=
Accounts payable	90,000/=	87,000/=
Bank overdraft	30,000/=	?
Insurance in arrears	-	1,500/=

The cash book gives the following information;

Receipts from debtors ……. 240,000/=

Cash sales …….90, 000/=

Payment to creditors……. 120,000/=

Cash purchases …… 75,000/=

Interest on bank overdraft……. 4,500/=

Insurance ……. 15,000/=

Drawings ……. 12,000/=

General expenses……...24,000/=

Rent ……6,600/=

OTHER INFORMATION

- Discount allowed to debtors was TZS 12,000/= and discount received from creditors 7,500/=.
- Goods worth TZS. 9,000/= were returned by customers and goods worth TZS. 4,500/= were returned to the suppliers.
- Depreciate machinery at 10% and furniture at 6%.

REQUIRED:

a. Calculate total sales figure and purchases figure
b. Prepare income statement for the year ended 31st December 2021, after taking into consideration necessary adjustments.

8. (a) Sharifa commenced a business on 1st September 2005 with cash balance of Tshs. 10,000/= and bank balance of TZS. 20,000/=. The following transactions took place during the month.

2nd September 2005 Bought furniture for cash TZS 1,000/=

4th September 2005 Purchased goods and paid by cheque TZS. 2,000/=

6th September 2005 Cash sales to date TZS. 25,000/=

8th September 2005 Received cheque from Amos 15,000/= less 5% cash discount.

12th September 2005 Paid John by cheque 4,000/= less 2% cash discount.

15th September 2005 Paid insurance by cheque 7,000/=

18th September 2005 A debtor Sabina paid us by cheque 20,000/= less 10% discount

20th September 2005 Banked cash amounted to 10,000/=

23rd September 2005 Withdrew cash from the bank for business use 5,000/=

25th September 2005 Withdrew cash from the bank for personal use 6,000/=

REQUIRED; Enter the above transactions in respective cash book.

(b) The following is a statement of income and expenditure accounts of KMC FOOTBALL for the year ended 31st December 2020.

KMC FOOTBALL CLUB

STATEMENT OF INCOME AND EXPENDITURES FOR THE YEAR ENDED 31ST DECEMBER 2020.

INCOMES:

Subscriptions	20,000/=		
Donations	10,500/=		30,500/=
Less: **EXPENDITURES**			
Salaries	17,500/=		
General expenses	5,000/=		
Depreciation: sports equipment's	3,000/=	25,500/=	
Surplus of income over expenditures		5,000/=	

Adjustments were made in respect of the following:

i. Subscriptions for 2019 unpaid at 1st January 2020 TZS. 2,000,000/=, TZS. 1, 800,000/= were received in 2020 in respect of the unpaid amount on 2019. The remaining balance was written off as bad debts.

ii. Subscription in advance on 1st January 2020 TZS. 500,000/= iii. Subscription amounted TZS. 400,000/= was received in respect of the year 2021.

iv. Subscriptions for 2020 unpaid at 31st December 2020 were TZS. 700,000/=

v. Sports equipment at 1st January 2020, valued at TZS. 26,000,000/=. Sports equipment at 31st December 2020 after charging depreciation was TZS. 27,000,000/=

vi. Bank balance at 1st January 2020 TZS. 1,600,000/=

REQUIRED

Prepare Subscriptions received account and receipts and payments account.

9. (a) From the following particulars extracted from the books of a trader, **you are required to prepare total account receivable control account** for the month of August 2019.

1st August 2019. Sales ledger - Dr balance……380,000/=

Sales ledger- Cr balance……4,000/=

Transactions for the month

Cash from credit customers……. 10,000/=

Cheque from credit customers……. 600,000/=

Bills receivable…… 300,000/=

Credit sales……...700,000/=

Bad debts written off…… 30,000/=

Discount allowed……29,000/= Dishonoured cheque…….. 30,000/=

Returns inwards……. 66,000/=

Dishonoured bills……. 1,500/=

Interest charged by us on overdue debt…… 5,000/=

Set off balance to purchases ledger……. 2,000/=

At the end of the month 31st August 2019

Sales ledger – Credit balance 4,000/=

(b) A company bought a motor van for TZS. 5,000,000/= on 1st January 2012. On 30th June 2014, a motor van was sold for TZS 3,000,000/=. The policy of the company is to depreciate motor van at the rate of 10% straight line method based on the months of ownership.

REQUIRED: Prepare;

i. Motor van account

ii. Accumulated depreciation on motor van account.

iii. Motor van disposal account.